Here’s what’s inside the Senate’s new bipartisan permitting proposal

The 417-page legislation aimed at speeding up federal approval of projects promises to fulfill longtime energy priorities for both Democrats and Republicans.

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The permitting overhaul released by Senate negotiators Wednesday aims to speed up approval of major energy projects across the country by increasing federal power over interstate electricity transmission lines, shortening deadlines for environmental reviews and imposing limits on when projects can be challenged in court.

The text itself — bipartisan and the subject of intense monthslong negotiations — touches on various quadrants that lawmakers and industry officials alike have been imploring Congress to act on for years.

The 417-page bill would bolster the power of the Federal Energy Regulatory Commission to coordinate expansion of the nation’s electrical grid, which has become a pressing issue with the proliferation of power-hungry data centers.

The legislation also dives straight into the heated political debate about data centers, requiring developers to bear the brunt of the cost for transmission and other infrastructure. Those provisions are tougher than the requirements in Republicans’ Ratepayer Protection Act, which Democrats blocked Wednesday.

The bill would overhaul key provisions of landmark environmental laws, including those safeguarding endangered species and clean water. It also includes a permitting certainty component that Senate Democrats had pressed to include to combat President Donald Trump’s efforts to slow down and — in some cases — halt renewable energy projects.

The permitting proposal also includes language meant to boost geothermal and hydropower in particular, renewable forms of energy prized by both Republicans and Democrats alike.

Though the Senate negotiators were able to reach a deal as they prepared to depart for the midterm campaign trail, they’re not out of the woods yet. Senators — and industry leaders — will have about a month and a half to comb through and pick apart the text before an

expected post-midterm vote.

The White House had previously threatened to pull back on concessions it agreed to allowing certain renewable energy projects to move forward if lawmakers failed to vote on a permitting bill ahead of the midterms. But a White House official said in a statement Wednesday that "we look forward to seeing it pass quickly," without reiterating that earlier threat.

The House is another factor. The lower chamber passed its own GOP-led permitting measure — the SPEED Act — late last year.

NEPA reviews shortened

One of the biggest changes to permitting law in the bill would shorten timelines for environmental reviews that are mandated for major projects. Those reviews have long been a top priority for environmentalists seeking ecological protections but have become a major headache for developers who complain they sometimes stretch on for years.

The bill outlines two-year timelines for environmental impact statements — the most thorough type of environmental reviews under the National Environmental Policy Act — and one-year deadlines for the less-intricate environmental analyses.

Those changes in the timelines are significantly tighter than what is currently common: The median for an environmental impact statement completion time is 3.5 years, according to 2020 government statistics.

Developers on Wednesday were pleased to see those changes.

"If there is a clock that can be held to, that is an improvement overall because that doesn't exist [currently]," said a clean energy developer granted anonymity to speak frankly. They added that more predictable review timelines would make it easier to finance projects.

John Nagle, a federal policy manager at the conservative Pacific Legal Foundation, backed the proposal and said that "Americans should not have to navigate years of costly and unpredictable government processes simply to build a home, develop new energy resources, or create the infrastructure our communities need."

Reactions from environmentalists on Wednesday were more mixed, with some conservation-focused groups expressing their opposition to many provisions.

Defenders of Wildlife's president, Andrew Bowman, said the proposal would "bulldoze" the country's most important wildlife law, the Endangered Species Act. The Center for

Biological Diversity's government affairs director, Brett Hartl, called it "grotesque legislation."

Clean Water Act changes

The deal also takes aim at states' authority to block energy infrastructure projects using their authority under the Clean Water Act. Democrat-led states issued a spate of Clean Water Act vetoes in the mid-2010s but have wielded that power less frequently in recent years as some states have come to embrace the expansion of natural gas pipelines.

The measure unveiled Wednesday includes a suite of changes to the 1972 water law that have long been sought by Republicans, including setting new deadlines for state reviews of energy projects' water quality impacts, making it harder for states to block projects and prohibiting them from imposing conditions on those projects as part of their approval unless they are "necessary to ensure compliance with water quality requirements" and "the least burdensome" for developers.

Some of those changes are ones the Trump EPA has also been pursuing through regulatory means.

The deal would also expand the use of streamlined Clean Water Act permits for pipelines and electric transmission lines, doubling the current limit on projects' allowable impacts to federal wetlands and streams.

Transmission planning overhaul

The bill would make major changes to U.S. transmission grid law by directing the Federal Energy Regulatory Commission to require utilities to coordinate their planning for regional and interregional grid projects. It would also give FERC stronger emergency siting authority and better define the benefits of transmission projects to clarify how costs should be distributed.

"This is the first bill that is holistically, comprehensively attacking all of the key barriers to transmission," said Gretchen Kershaw, chief operating officer at consulting firm Grid Strategies. "We are addressing planning, paying and permitting in one bill at the same time. And that is, to me, the big thing, and that's what's going to actually move the needle."

One provision would update the federal government's emergency — or "backstop" — transmission siting authority. Under the status quo, FERC can step in to permit an interstate transmission line in an energy emergency, but only after DOE first recognizes the route as a priority.

That opened the process up to political considerations, critics said, like in August, when DOE axed three such priority routes that had been designated under the Biden administration.

The new bill would remove DOE's role in the process, streamlining a federal backstop permit by allowing FERC to review a proposal concurrently with states. With the agency sounding the alarm over the grid's reliability — particularly in the mid-Atlantic PJM grid — Kershaw thinks the commissioners would be willing to pull the trigger if a line they consider crucial is stalled by state regulators.

Rob Gramlich, Grid Strategies' president, said the biggest impact for the grid could be felt by directing FERC to require interregional transmission planning, an issue highlighted in a 2024 report from the North American Electric Reliability Corp., the continent's grid watchdog.

"Interregional transmission could mitigate certain extreme conditions by distributing resources more effectively," the report said, allowing a region that suffers outages of power plants to potentially keep the lights on by drawing surplus power from neighbors.

The bill also codifies and clarifies contentious grid issues that have spurred litigation in prior years.

FERC already pushed intraregional grid planning during the Biden administration through its Order 1920. That rule is now facing a federal lawsuit from states, transmission owners and public interest groups and though a panel of appeals court judges seemed likely to uphold the order, the bill would effectively codify it into congressional law.

To tackle the often-contentious question of who pays for grid upgrades, the bill sets out six examples of benefits to influence how costs are assigned, including "improved reliability" and access to cheaper power generation. Gramlich says these clarifications should help speed transmission projects by reducing lengthy legal challenges.

Permitting certainty

The bill text includes provisions that were a priority for Democrats that are designed to prevent presidential administrations — both current and future — from arbitrarily canceling energy projects that have already gone through the federal permitting process.

According to the bill text, "a Federal department or agency shall not take any new action that would revoke, rescind, withdraw, terminate, suspend, amend, or alter a Federal authorization or permit in effect on or after September 16, 2026." There are a few exceptions, such as if a court orders the federal government to take certain action or if a permit holder requests that

an action be taken.

Democrats have been adamant about including that permitting certainty language in recent months, especially following the Trump administration's move late last year to halt construction of five previously approved offshore wind projects. Those White House actions prompted Democratic Sens. Martin Heinrich and Sheldon Whitehouse to walk away from the negotiating table for several months.

But it also appeals to Republicans, who had decried then-President Joe Biden's decision to yank federal approval for the Keystone XL pipeline that would have increased flows of Canadian oil to U.S. refineries.

The permitting proposal incorporates further language meant to allow specific types of projects that are encountering "a pattern of disparate treatment by the Federal Government" to take their complaints to a U.S. district court. That option applies to both developers who feel their project permit was "improperly denied" or "unreasonably delayed."

Tackling data centers

The bill would require data center developers to pay for transmission and other costs of building out AI infrastructure, a plan that would go a step further than the Ratepayer Protection Act's provisions that are voluntary in nature. That bill previously passed the House but failed a procedural vote in the Senate on Wednesday.

Many major data center companies have signed on to voluntary pledges to protect Americans from the costs of the massive facilities.

The issue has emerged as a major source of tension in communities, and Congress and state utility commissions have begun to home in on it as electricity prices surge across the country. "Before constructing, or making an upgrade to, a generation, transmission, or distribution facility necessary to serve [data centers]," an electric utility shall require the covered load to provide financial assurances or contributions sufficient to cover the cost of the facility," the bill states.

Michele Nellenbach, vice president of federal affairs at the Data Center Coalition, the tech companies' lobby group, said in a statement the group is reviewing the details of the package with its members, who are investing hundreds of billions of dollars in AI infrastructure.

"This digital infrastructure plays a critical role in growing our economy, safeguarding national security and public safety, and winning the global AI race," she said.

The industry, however, has been facing public backlash in many communities out of

concerns about water and land use of data centers, as well as their potential effects on power bills.

A survey this month from the Pew Research Center found Americans have become more negative about data centers since the start of the year, with a majority uncomfortable with the idea of the facilities in their local areas.

Narrower historic reviews

The bill's proposal to alter historic reviews comes as the Trump administration is working to slash the traditional Section 106 review process under the National Historic Preservation Act by cutting out mandatory tribal and public input and narrowing the types of projects eligible for review.

Language in the compromise bill, however, retains tribal consultations while speeding up the process by adding deadlines that coincide with the NEPA review timelines.

But Ira Matt, executive director of the National Association of Tribal Historic Preservation Officers, derided the bill's language as "act of paternalism" and said it similarly minimizes tribal voices but is worse than the administration's reforms because it would write the provision into law.

"It minimizes the voice of the people and it places power in the hands of government and industry," Matt told POLITICO.

Benefits for for renewables, oil and gas projects

Proponents of renewable energy projects like wind, solar and geothermal energy as well as backers of oil and natural gas infrastructure said the tightened environmental reviews, shortened window for legal challenges and permitting certainty provisions would all contribute to building out their respective sectors.

Pete Wyckoff, the vice president of policy at Evergreen Action, which focuses on clean energy, said the group is excited that "certainty for renewable energy projects and transmission-related provisions would improve our country's ability to build clean energy at scale, lower costs, and cut pollution."

Yet Wyckoff added that the bill appears to include Senate Republicans' demands that created "deep erosion" of protections in environmental laws, which "deserves careful and diligent scrutiny."

Nat Keohane, president and CEO of the Center for Climate and Energy Solutions, said that

the transmission provisions in the bill will encourage a build-out of more clean energy projects, leading to lower emissions.

“This is the kind of reform that we will need to bring the next generation of technologies on, like advanced geothermal, like advanced nuclear [and] other forms of carbon-free generation,” he said in a call with reporters.

Oil and Gas groups also celebrated the release of the bill, although some cautioned that they were still reviewing the lengthy legislation.

Natural gas pipelines have faced fierce pushback from environmental groups and the communities along their proposed projects. The Interstate Natural Gas Association of America, which represents companies that operate long-haul gas lines, called Wednesday's release a "historic breakthrough."

"After years of gridlock and a permitting system that has too often left energy projects stalled, Congress is on the verge of delivering meaningful permitting reform," said INGAA's president and CEO, Amy Andryszak.

The group said meeting new demand for gas and other commodities through 2052 will require more than 140,000 miles of new pipelines, totaling more than $1 trillion of investment. But to do that, the group said, companies need greater certainty, which it said would require the changes in the Clean Water Act, the National Environmental Policy Act and judicial reviews.

But the Sierra Club warned that, without more solid assurances from Republicans, the legislation could allow oil and gas projects to speed ahead while Trump continues to find new ways to block permitted clean energy projects.

"The proposed text would create immediate benefits for oil and gas companies during a period of unprecedented growth in oil and gas infrastructure and record-breaking industry profits," said Holly Bender, the Sierra Club's chief program officer, "while communities stand to lose critical protections for clean air, water, and wildlife."

Kelsey Tamborrino contributed to this report.